

- RAG Learning

4.1 Globalisation

Business — Edexcel (9BS0) — Theme 4: Global business

Theme 4 places business in a global setting, and this first topic explains the forces behind that setting: the rise of emerging economies, the growth of trade and foreign direct investment, the factors that have driven globalisation, and the barriers — protectionism and trading blocs — that shape it. The recurring examination angle is **what these macro trends mean for an individual business**: a new market, a cheaper supplier, a new competitor, or a tariff that wipes out a margin. Recent events are rich material: the UK's post-Brexit trading arrangements, its accession to the CPTPP in 2024, and the sweeping US tariffs of 2025 show that globalisation can go into reverse as well as forward.

Globalisation — the growing integration of the world's economies through trade, investment, migration, technology and culture.

Emerging economy — a country moving from low income towards high income, with rapid growth and industrialisation (e.g. India, Vietnam, Indonesia, Brazil).

Gross Domestic Product (GDP) — the total value of goods and services produced in a country in a year.

GDP per capita — GDP divided by the population; an indicator of average living standards.

Human Development Index (HDI) — a UN composite measure of development combining health (life expectancy), education (years of schooling) and income (GNI per capita), scored from 0 to 1.

Exports — goods and services sold to other countries; **imports** — goods and services bought from other countries.

Foreign Direct Investment (FDI) — investment by a business in productive assets in another country, such as a factory or a controlling stake in a firm.

Protectionism — government measures that restrict imports to protect domestic producers.

Trading bloc — a group of countries that agree to reduce or remove trade barriers between themselves.

1. Growing economies (4.1.1)

UK growth compared with emerging economies

Economy	Approximate real GDP growth, 2024	Comment
UK	About 1%	Mature, service-based; slow growth since 2008, weak productivity
USA	About 2.5–3%	Large, mature economy growing faster than most developed peers
China	About 5%	Slowing from double-digit growth of the 2000s; second-largest economy
India	About 6–7%	Fastest-growing major economy; world's most populous country since 2023
Vietnam	About 7%	Manufacturing hub benefiting as firms diversify away from China

Mature economies grow slowly because they have already industrialised and their growth relies on productivity improvements. Emerging economies grow faster by moving labour from agriculture into manufacturing and services, adopting existing technology and attracting FDI ("catch-up growth").

Growing economic power of countries in Asia, Africa and elsewhere

- **Asia** — China is the world's largest manufacturer and exporter of goods; India is a major exporter of IT and business services and increasingly of manufactured goods (Apple now assembles a growing share of iPhones there); ASEAN economies such as Vietnam, Indonesia and Malaysia are growing rapidly.
- **Africa** — the fastest-growing population in the world, a young workforce, and several of the world's faster-growing economies (e.g. Ethiopia, Rwanda, Côte d'Ivoire). The African Continental Free Trade Area aims to create a single continental market. Challenges include infrastructure, political instability and debt.

- **Other regions** — Brazil, Mexico and the Gulf states (diversifying away from oil) are also important. The BRICS grouping expanded from 2024 to include further members such as Egypt, Ethiopia, Iran and the UAE.

Implications of economic growth for individuals and businesses

Trade opportunities for businesses:

- A rapidly growing middle class creates new markets for consumer goods, luxury brands and services — e.g. Jaguar Land Rover, Burberry and Scotch whisky producers selling to Chinese and Indian consumers. The UK–India free trade agreement signed in July 2025 cuts Indian tariffs on whisky and cars.
- Emerging economies are sources of lower-cost production and components.
- But they also produce new global competitors (BYD in electric vehicles, Tata, Infosys, Huawei, Shein and Temu in retail).

Employment patterns:

- In emerging economies: movement from agriculture to manufacturing and services; urbanisation; rising wages; growth of the formal sector.
- In the UK: manufacturing jobs lost to lower-cost countries; growth in high-skill services (finance, design, research) and in logistics; pressure on low-skill wages.
- For individuals: rising incomes and opportunities in emerging economies, but also job insecurity and inequality.

Indicators of growth

Indicator	What it shows	Limitations	Approximate values (recent)
GDP per capita	Average income and output per person — the purchasing power of the market	Averages hide inequality; ignores the informal economy and non-market activity; exchange-rate distortions (use purchasing power parity)	UK about \$50,000+; China about \$13,000; India about \$2,500–3,000

Literacy	Education level — the quality of the potential workforce and the ability to use written marketing and instructions	Basic literacy says little about higher skills	Near-universal in the UK and China; around three-quarters of adults in India
Health	Life expectancy, infant mortality, access to healthcare — productivity of the workforce and the size of healthcare markets	National averages mask regional differences	Life expectancy over 80 in the UK; around 70–72 in India
HDI	Composite of health, education and income — broader view of development than GDP alone	Only three dimensions; ignores inequality, environment and political freedom	UK about 0.94 (very high); China about 0.79; India about 0.68; Nigeria about 0.56

Exam Tip: When a Paper 1 extract gives GDP, GDP per capita or HDI data, use it: calculate a growth rate or percentage difference and then say what it means for the business — e.g. rising GDP per capita → growing disposable income → demand for premium products. That is application plus analysis in one sentence. Then evaluate: an average figure hides inequality, so the target market may be much smaller than the population suggests.

2. International trade and business growth (4.1.2)

Exports and imports

- **Exports** allow businesses to grow beyond the domestic market, gain economies of scale, spread risk across markets, and extend the product life cycle (see 4.2).
- **Imports** give businesses access to cheaper or better raw materials and components, and give consumers more choice — but also bring foreign competition into the domestic market.

- The UK exports large volumes of services (financial, professional, education, creative) and runs a surplus on them, but a large deficit in goods.

The link between business specialisation and competitive advantage

When countries and firms **specialise** in what they do relatively well, they become more efficient: they build expertise, invest in specialist equipment, and achieve economies of scale. Trading the surplus allows everyone to consume more. For a business, specialisation creates **competitive advantage** in global markets:

- Taiwan's TSMC manufactures the majority of the world's most advanced chips.
- The UK specialises in financial and professional services, pharmaceuticals (AstraZeneca, GSK), aerospace (Rolls-Royce, BAE Systems) and creative industries.
- Germany in precision engineering and premium cars; Switzerland in watches and pharmaceuticals.

Risks of specialisation: over-dependence on one product or market; vulnerability to supply shocks (the 2021 global chip shortage halted car production); and exposure to protectionism.

FDI and its link to business growth

FDI is a way for firms to grow internationally by building or buying operations abroad (unlike portfolio investment, which is buying shares without control).

Benefits to the investing business	Examples of FDI into the UK
Access to new markets from inside, avoiding tariffs and transport costs	Nissan's Sunderland plant (since 1986), the UK's largest car factory
Access to resources, skills, lower costs or technology	Tata Group: owner of Jaguar Land Rover, building the Agratas battery gigafactory in Somerset
Diversification of risk across countries	Large US tech firms investing in UK data centres and AI (e.g. Microsoft, Google announcements 2024–25)

FDI flows in both directions: UK firms such as Unilever, BP and HSBC hold huge investments overseas. Its wider effects on host economies are covered in 4.4.

3. Factors contributing to increased globalisation (4.1.3)

Factor	Explanation	Example
Reduction of international trade barriers / trade liberalisation	Successive GATT rounds and the WTO (1995) cut average tariffs sharply; free-trade agreements remove barriers	UK joined CPTPP (in force for the UK December 2024); UK–India FTA signed 2025. Counter-trend: US tariffs 2025
Political change	Countries opening to trade and investment	China's reforms from 1978 and WTO entry (2001); the collapse of the Soviet Union (1991); EU enlargement. Counter-trend: Brexit, sanctions on Russia (2022)
Reduced cost of transport and communication	Containerisation, larger ships, cheaper air freight; the internet, mobile phones, video conferencing	Global supply chains; outsourcing of call centres and IT to India; e-commerce platforms selling worldwide
Increased significance of global (transnational) companies	MNCs spread production, brands and technology across borders	Apple, Amazon, Toyota, Unilever, Nestlé
Increased investment flows (FDI)	Firms investing across borders to access markets and resources	Chinese investment in African infrastructure; Japanese car makers in the UK
Migration (within and between economies)	Movement of workers provides labour and skills; rural–urban migration supplies factory workforces	Hundreds of millions of rural Chinese moving to coastal cities; EU free movement (to the UK until 2021); international students and skilled visas
Growth of the global labour force	Integration of China, India and Eastern Europe roughly doubled the	Lower labour costs attracted manufacturing to Asia

	labour force available to the global economy	
Structural change	Economies shift from primary to secondary to tertiary (and quaternary) sectors; developed economies deindustrialise while emerging economies industrialise	UK manufacturing is under 10% of output; services around 80%. China and India industrialising

4. Protectionism (4.1.4)

Tariffs

A tariff is a tax on imports, usually a percentage of their value. It raises the price of imported goods, making domestic goods relatively more competitive, and raises government revenue.

Worked example: a UK car maker exports a car with an import value of \$50,000 to the USA. Before April 2025 the US tariff on cars was 2.5%: price after tariff = $50,000 \times 1.025 = \text{\$51,250}$. An additional 25% tariff (27.5% in total) would raise it to $50,000 \times 1.275 = \text{\$63,750}$ — an increase of \$12,500, or 24.4%. Under the May 2025 UK–US Economic Prosperity Deal, a quota of 100,000 UK cars a year faces a 10% tariff instead: $50,000 \times 1.10 = \text{\$55,000}$. The exporter must choose between raising prices (losing sales) or absorbing the tariff (losing margin). US trade policy has kept changing: in February 2026 the US Supreme Court ruled that the broad "reciprocal" tariffs imposed in 2025 under emergency powers were unlawful, and a temporary 10% tariff on most imports replaced them, while sector tariffs such as those on cars stayed in place. This uncertainty is itself a cost for exporters.

Import quotas

A quota is a physical limit on the quantity (or value) of a good that can be imported in a period. Once the quota is filled, no more can be imported (or a much higher tariff applies — a tariff-rate quota). Quotas raise prices by restricting supply. *Examples:* UK and EU safeguard quotas on steel imports; the 100,000 UK car quota in the 2025 UK–US deal.

Other trade barriers

- **Government legislation** — product standards, safety rules, labelling requirements, food standards (e.g. the UK ban on chlorine-washed chicken), and complex customs procedures and rules of origin; also restrictions on foreign ownership or on sensitive technology (the UK's National Security and Investment Act 2021).
- **Domestic subsidies** — government payments to domestic producers lower their costs and give them an advantage over imports and in export markets: the US Inflation Reduction Act (2022) subsidies for clean-energy production; EU agricultural subsidies; Chinese state support for EV and battery makers (which led the EU to impose extra tariffs of up to 35.3% on Chinese EVs from October 2024).

Effects on businesses

Winners	Losers
Domestic producers competing with imports — protected market share and prices	Exporters facing retaliatory tariffs (e.g. Scotch whisky hit by US tariffs 2019–21)
Governments raise revenue	Firms that import components — higher costs, disrupted supply chains
Jobs in protected industries (in the short run)	Consumers — higher prices, less choice; protected firms may become inefficient

Exam Tip: The effect of a tariff on a particular business depends on price elasticity of demand (Theme 1): with inelastic demand the exporter can pass the tariff on in higher prices; with elastic demand it must absorb it. It also depends on whether the firm can switch production into the protected market (FDI to “jump the tariff wall”, as many foreign car makers did in the US). These links are strong synoptic analysis.

5. Trading blocs (4.1.5)

Expansion of trading blocs

Bloc	Members	Key features
EU and the single market	27 member states (UK left in January 2020; the transition period ended 31 December 2020). The single market also extends to Norway, Iceland and Liechtenstein through the EEA.	Customs union with a common external tariff; single market with free movement of goods, services, capital and people (the “four freedoms”); common rules and standards; the euro, used by 21 members since Bulgaria adopted it on 1 January 2026. The UK now trades with the EU under the Trade and Cooperation Agreement: zero tariffs on goods meeting rules of origin, but new customs and regulatory checks.
ASEAN (Association of Southeast Asian Nations)	Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, the Philippines, Singapore, Thailand, Vietnam; Timor-Leste admitted as the 11th member in October 2025	ASEAN Free Trade Area; ASEAN Economic Community aiming at free flow of goods, services and investment; combined population of around 680 million; also part of RCEP, the world's largest free trade agreement by population
NAFTA (North American Free Trade Agreement)	USA, Canada, Mexico	Free trade area from 1994; replaced in July 2020 by the United States–Mexico–Canada Agreement (USMCA), with stricter rules of origin for cars (75% regional content) and labour provisions. US tariffs on Canada and Mexico in 2025 strained the agreement.

Trading blocs have expanded both by adding members (EU enlargement to Central and Eastern Europe in 2004 and after) and by deepening integration (from free trade area to customs union to single market).

Impact on businesses of trading blocs

Businesses inside the bloc	Businesses outside the bloc
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Access to a larger market without tariffs — economies of scale	Face the common external tariff, making their goods less price-competitive
Cheaper imported components from other members	Must meet the bloc's standards and rules of origin
Single set of rules reduces paperwork and cost	Incentive to set up inside the bloc through FDI (Japanese car makers in the UK before Brexit to access the EU)
Free movement of labour eases skills shortages	Trade diversion: buyers switch to less efficient producers inside the bloc
But: more competition from firms in other member states; regulation may be costly	Post-Brexit example: UK exporters to the EU face customs declarations, checks on food, and VAT complexities — many small exporters stopped selling to the EU

How Edexcel rewards this topic

- **Knowledge:** accurate definitions (tariff vs quota; free trade area vs customs union vs single market; FDI).
- **Application:** use the extract's country, product and data — which bloc, which barrier, which indicator.
- **Analysis:** chains linking the macro change to the firm — tariff → higher price in export market → lower demand (if elastic) → lower revenue and market share.
- **Evaluation:** it depends on elasticity, the firm's ability to relocate or find other markets, exchange rates, the length of the barrier, and possible retaliation.

Common mistakes

- Confusing a tariff (tax on imports) with a quota (quantity limit).
- Saying the UK is still in the EU single market, or that NAFTA still exists under that name.
- Treating GDP and GDP per capita as the same — India's total GDP is large but its GDP per capita is low.

- Assuming protectionism only helps domestic firms — firms relying on imported components are harmed.
- Ignoring the business: this is a Business paper, not Economics — always bring the macro point back to the firm in the extract.

Quick recall

- Emerging economies (China, India, Vietnam, parts of Africa) grow faster than the UK (about 1%)
- Indicators: GDP per capita, literacy, health, HDI (health + education + income)
- Growth brings trade opportunities, new competitors and changing employment patterns
- Specialisation → efficiency → competitive advantage; FDI = investment in productive assets abroad
- Globalisation drivers: trade liberalisation, political change, cheaper transport and communication, transnational companies, FDI, migration, global labour force, structural change
- Protectionism: tariffs, quotas, legislation, domestic subsidies
- Trading blocs: EU single market (27), ASEAN, NAFTA (now USMCA) — benefit insiders, disadvantage outsiders